

that time, the investing public was in intense agreement with such sentiments as I am now expressing because during recessions and at major stock market bottoms such as then, fear is rampant. Naturally, at the time, it was exactly the wrong thing to believe. Now almost no one believes that anything like this can happen. Investors today are deeply convinced that stocks and bonds are desirable investments, and that at minimum, they always go up long term, so there is no reason to be concerned. Once again, the popular belief is wrong. In reality, a sociofinancial turning point of major dimension is at hand.

This turning point can be understood only with a knowledge of centuries of economic, social and political history, and most important, stock market history. The Wave Principle alone is able to integrate the massive growth of credit, the increasing complexity of the investment marketplace, the climate of speculation, the long but slowing economic expansion, the political atmosphere of conciliation, as well as the patterns that produced this background, into a meaningful whole. These conditions have appeared in a few rare instances throughout history and have always led to a substantial crisis in the financial system.

The only statements I am willing to make categorically are that (1) the stock market is near the end of Cycle wave V from 1932, (2) the Dow Jones Industrial Average will fall at least back to 1000, and (3) when the stock market falls that far, we will have a depression. If at any time daily advance-decline ratios for several weeks become larger than those of any equivalent period since the 1974 low (i.e., something akin to those of the 1940s and 1950s), it will demonstrate the behavior of a third wave up, and the most essential analysis in this book will have been proved flat-out wrong. While I place the chance of such an event at zero, everything else in this book with respect to Elliott Wave analysis and the resulting projections involve a clearly stated probability, sometimes very high, but sometimes barely better than 50%.

Regardless of uncertainties, it is a fact of life that success demands the assessment of risk and decisive action based upon probability. Indeed, to survive, sometimes one must act merely on *possibility*. If there were a 1-in-10 chance that grizzly bears were nearby, wouldn't you move camp? In contrast, the evidence indicating coming financial and social difficulty is far greater than 1-in-10. Delaying defensive action will almost certainly cause substantial anxiety later. Insurance was invented because there are few guar-